BOOKS

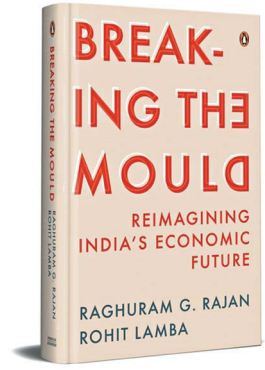
OFF THE BEATEN TRACK

By Jahangir Aziz

In their recent book, Raghuram Rajan and Rohit Lamba propose a development path for India that deviates from the well-trodden sequence countries have historically followed. It is this belief, or the "mould" that has trapped economic thinking (thus most policies and reforms), which needs to be broken if India is to deliver sufficiently high growth to reach middle-income status in the next 25 years.

What is the mould? It is the widely accepted view that countries follow a certain path to rise up the value-added chain, namely starting from agriculture, moving to manufacturing and low-end services and eventually to high-end services. This is what early industrialised nations in Europe such as the UK followed, as did the US and, in more recent years, Japan, Korea and China. In fact, there is no evidence that any large country has managed to bypass this sequence of progression. Because of its preponderance, it is accepted that this is the only path to high growth. Economic theory does not necessitate any such sequence. Theory only states that labour and capital need to be shifted from low to high productive activities for sustained growth; that is, the path to high growth is underpinned by continuously improving allocative efficiency.

Why does the mould need to be broken for India? In brief, because India is too late to catch the global manufacturing train. Other hubs of low-value and high-employment manufacturing (Bangladesh, Vietnam and others) have established positions in the global supply chain that give them advantage in input costs and ecosystems that are difficult and costly to compete against. Moreover, in the modern product supply chain, it is the early services of R&D and design and the last-mile services of branding and marketing that generate the most value, not the middle segments of manufacturing the product. As



BREAKING THE MOULD
by Raghuram Rajan and Rohit Lamba
PENGUIN RANDOM HOUSE
₹799; Pg 336 pages

an example, the authors point to the $3 trillion valuation of Apple that designs and brands iPhones versus the $50 billion valuation of Foxconn, which manufactures them. Since manufacturing doesn't generate as high a value in a product as the initial and end services do, it is hard to deliver high sustained growth by focusing only on it.

Instead, the authors argue, India is better-off shifting to services, including high-end services such as chip design, financial modelling, new drug creation etc., where it has built a relative advantage. But for this to happen, more resources need to be invested in public health and education (from elementary schools to centres of fundamental research) to create an ideas-generating work force (as opposed to low-skilled manufacturing and services workers) to complement the progress India has made in physical and digital infrastructure. It also requires a governance system that does not straitjacket thought but embraces debate and dissent. Why? The authors have several arguments, mine is simple: Because the first step of any innovation is an act of dissent.

INSTEAD OF FOCUSING ON MANUFACTURING, INDIA SHOULD AIM FOR HIGH-END SERVICES, SAY THE AUTHORS

I agree with the authors that excessive focus on a low-value-added, high-employment manufacturing strategy is not just anachronistic but likely to be costly with uncertain payoffs, especially when manufacturing itself is becoming increasingly digitised. However, and the authors do try hard not to, their arguments force a false binary choice between manufacturing and services.

Instead, a much stronger argument would be to take a Darwinian approach. Rather than choose a specific path, let policies/ reforms create an ecosystem (spanning infrastructure, expanded public health and education systems and inclusive governance that the authors propound) that allows all segments of the supply chain—from manufacturing plastic salad spinners to designing hypersonic engines—to coexist and adapt as dictated by technology and the demands of the global marketplace. In this way, jobs can be created to match the entire spectrum of educational achievement—for school dropouts and rocket scientists alike. This is a more achievable growth strategy than a binary choice between favouring manufacturing or services.

Setting aside my disagreements, the authors should be applauded for a lucid and constructive critique of the dominant narrative around India's future growth. It is an excellent start to a much-needed debate that hopefully will be fruitful and deliver a strong economic future. ■

Jahangir Aziz *is Managing Director and Head, Emerging Market Economics Research, J.P. Morgan*